FINANCIAL RISK REPORT

Customer Risk • Expense Risk • Liquidity Risk

1. Executive Risk Summary

The business has a material working-capital exposure driven by receivables. Total outstanding customer exposure is approximately ₹1.81 crore, while overdue AR is ₹1.73 crore. Collection efficiency is 74.9% and receivable days are approximately 91.7 days. The current closing cash position is approximately ₹3.14 crore. This means liquidity is currently supported by cash reserves, but delayed collections can reduce the cash buffer.

2. Risk Dashboard

Risk Area	Key Indicator	Assessment
Customer / Credit Risk	20 high-risk customers; ₹1.02 crore high-risk AR	HIGH
Receivable / Collection Risk	91.7 receivable days; 74.9% collection efficiency	HIGH
Expense Risk	Actual expense variance -0.9% vs budget	MEDIUM
Expense Anomaly Risk	35 potential anomaly records	MEDIUM
Liquidity Risk	₹3.14 crore closing cash; ₹1.73 crore overdue AR	MEDIUM-HIGH
Cash Conversion Risk	CCC approximately 115.7 days	HIGH

3. Customer Risk Analysis

There are 60 customers in the risk analysis. 20 are classified as High risk, 18 as Medium risk and 22 as Low risk. High-risk customers account for approximately 56.3% of total outstanding customer exposure.

Customer	Segment	Outstanding	Payment Delay (days)	Overdue Invoices	Collection Efficiency	Risk Score
Customer 006	SMB	₹946,938	337	20	24.5%	95.1
Customer 032	SMB	₹674,718	179	18	55.3%	87.1
Customer 008	SMB	₹650,926	174	14	50.7%	87.1
Customer 012	SMB	₹610,472	201	13	43.0%	91.4
Customer 021	SMB	₹587,126	143	15	66.5%	78.3
Customer 030	SMB	₹571,761	198	14	56.5%	88.7
Customer 031	Enterprise	₹569,525	104	12	61.7%	72.0
Customer 046	SMB	₹561,640	114	9	64.5%	72.6
Customer 056	Mid-Market	₹556,404	165	12	51.3%	84.3
Customer 007	SMB	₹531,201	123	11	55.6%	73.6

4. Customer Concentration Risk

The top five customers represent approximately 19.1% of total outstanding AR, while the top ten represent approximately 34.5%. A concentrated receivable portfolio creates a cash-flow risk if one or more large customers delay payment.

5. Receivable Ageing & Liquidity Risk

Age Bucket	Outstanding	% of AR

0-30	₹810,013	4.5%
31-60	₹674,284	3.7%
61-90	₹260,300	1.4%
91-120	₹0	0.0%
120+	₹16,381,949	90.4%

Overdue AR of ₹1.73 crore is the most important liquidity warning indicator. Receivable days of 91.7 days indicate that cash is tied up in customer balances for an extended period. The business should therefore treat collections as a liquidity-control activity rather than only an accounts-receivable activity.

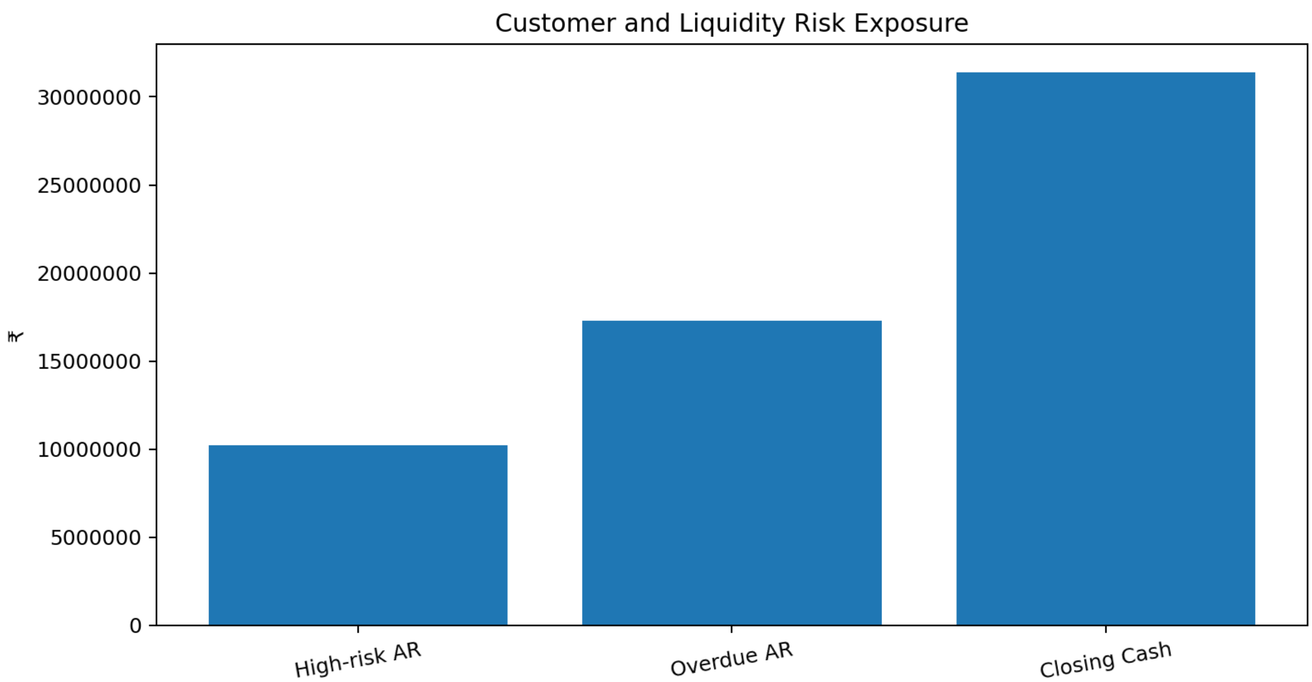

Figure 1. Customer and liquidity risk exposure.

6. Expense Risk Analysis

Across the budget-versus-actual dataset, total budgeted expense is approximately ₹2.22 crore and actual expense is approximately ₹2.20 crore. The net variance is ₹-0.02 crore, equivalent to -0.9% of budget.

Largest expense departments by actual spend:

Department	Actual Expense	Share
IT	₹5,119,962	23.2%
Operations	₹4,236,565	19.2%
Marketing	₹3,519,337	16.0%
Sales	₹3,139,817	14.2%
HR	₹2,190,418	9.9%
Administration	₹2,027,784	9.2%
Finance	₹1,814,899	8.2%

Largest expense categories by actual spend:

Category	Actual Expense	Share
Salaries	₹11,074,963	50.2%
Rent	₹2,184,652	9.9%
Marketing	₹1,779,638	8.1%

Software	₹1,760,247	8.0%
Operations	₹1,754,240	8.0%
Utilities	₹1,107,273	5.0%
Travel	₹1,071,176	4.9%
Taxes	₹659,137	3.0%

7. Expense Anomaly Risk

The anomaly analysis identifies 35 potential anomaly records for review. The absolute variance represented by these flagged records is approximately ₹408,019. Anomalies should not automatically be treated as fraud or errors; they are exceptions that require management review to determine whether the spending is justified, incorrectly classified or unusually high.

8. Liquidity Risk Assessment

Current closing cash is approximately ₹3.14 crore. The six-month cash forecast indicates positive closing cash even under the Stress scenario, but the liquidity position remains sensitive to collection timing. The Stress forecast assumes collections at 85% of expected levels and expenses at 110%, resulting in June closing cash of approximately ₹0.09 crore.

Liquidity risk is therefore assessed as MEDIUM-HIGH: the business has a meaningful cash buffer, but ₹1.73 crore of overdue receivables and a 91.7-day receivable cycle can delay conversion of accounting revenue into usable cash.

9. Risk Mitigation Recommendations

- Create a weekly collection tracker for all High-risk customers and assign an owner to each overdue balance.
- Prioritize the top ten outstanding customers because their balances represent a significant portion of total AR exposure.
- Introduce customer credit limits and escalation rules for invoices that exceed agreed payment terms.
- Use the Stress cash forecast as the minimum liquidity-planning scenario when approving discretionary spending.
- Review budget-versus-actual variances monthly, especially departments and categories with recurring overspend.
- Investigate all expense anomalies before month-end close and document the business reason for unusual transactions.
- Maintain a minimum cash buffer based on expected near-term operating commitments.
- Refresh receivable ageing, customer risk and cash forecast together each month so management can see the full liquidity chain.

10. Management Conclusion

The main financial risk is not an immediate lack of cash; it is the conversion of receivables into cash on time. High-risk customer balances, overdue AR and long collection cycles can weaken liquidity if collection performance deteriorates. Expense overspend and anomalous transactions add a secondary pressure on cash. Management should therefore focus on three controls: accelerate collections, control discretionary expenses and maintain a conservative stress-based cash buffer.